

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate)
Transmission System) Docket No. RM26-4-000

**INITIAL COMMENTS OF THE VIRGINIA STATE
CORPORATION COMMISSION**

On October 23, 2025, the Secretary of the Department of Energy (“Secretary”) directed the Federal Energy Regulatory Commission (“FERC” or the “Commission”) to consider an Advance Notice of Proposed Rulemaking (“ANOPR”) regarding the interconnection of large loads to the interstate transmission system and issue a final action by April 30, 2026.¹ On October 27, 2025, the Commission issued a Notice Inviting Comments on the proposed ANOPR.

Both the Secretary’s letter to the Commission and the ANOPR assert that “the interconnection of large loads directly to the interstate transmission system to access the transmission system and the electricity transmitted over it falls squarely within the Commission’s jurisdiction. Asserting Commission jurisdiction is in the public interest.”² In addition to asserting jurisdiction over such interconnections, the ANOPR sets forth 14 principles to be applied by the Commission in this rulemaking proceeding in applying this new jurisdiction over large load interconnection.³

¹ Secretary of Energy, *Secretary of Energy’s Direction that the Federal Energy Regulatory Commission Initiate Rulemaking Procedures and Proposal Regarding the Interconnection of Large Loads Pursuant to the Secretary’s Authority Under Section 403 of the Department of Energy Organization Act* (Oct. 23, 2025) (“ANOPR”).

² See, Letter of Secretary Wright to the Commission at 1-2; ANOPR at 8-9.

³ ANOPR at Section V.

Pursuant to Notice Inviting Comments, the Virginia State Corporation Commission (“VSCC”) respectfully submits these comments regarding the ANOPR.

I. EXECUTIVE SUMMARY

Virginia is often referred to as the “data center capital of the world.” As such, the VSCC, the utilities it regulates, and other stakeholders have been deeply engaged in data center development within the state. The VSCC agrees that large data center loads need to be interconnected quickly and provided reliable service at affordable rates. The rapid acceleration of data center interconnection requests in Virginia, particularly in Dominion’s service territory, have resulted in near-term challenges. However, the VSCC has already taken – and will continue to take – proactive steps to address interconnection queue backlogs and growing generation and transmission infrastructure needs to meet the “speed to power” policy objectives that serve the best interest of all Americans.

The VSCC encourages the Commission to ensure that any action taken in the ANOPR proceeding does not inadvertently lead to additional delays, confusion, or queue backlogs. The best way to do so is to:

- Develop a set of Commission-mandated minimum standards for large load interconnections, such as study deposits, site control requirements, and similar criteria while allowing transmission owners, and not the RTOs, who already face long delays and inefficiencies in their existing generation queues, to continue to manage large load interconnection queues with direct oversight of their state regulatory commissions.
 - In so doing, the Commission should acknowledge the inefficiencies inherent to the large, regional queues administered by PJM and other RTOs. These inefficiencies can lead to longer queue lines and projects in states with available capacity being stuck behind projects in states that are already saturated.

- Under this paradigm, the transmission owners would file with the Commission verification that a large load interconnection Tariff meeting such requirements has been filed with their state regulatory authority.
 - The alternative approach envisioned by the ANOPR, which would establish one queue at the RTO for “large loads” and a different queue at the local utility for every other end-use customer still left with the utility, would create planning and study inefficiencies and could potentially disrupt other important loads, like manufacturers and commercial load, from being able to interconnect in a timely manner.
 - An arbitrary MW-based threshold for a Commission-regulated large load queue could lead to gamesmanship where loads are incentivized to come just above or just below the MW threshold in order to qualify for a state-run or federally-run queue.
 - The Commission should enable the accelerated interconnection of large loads that are willing to bring their own generation or to be co-located with generation by creating a fast-track generator interconnection queue for those verified generation resources, such as PJM’s existing Commission-approved Reliability Resource Initiative. Selectively enabling accelerated interconnection would still allow for fast-track interconnection of co-located loads without necessitating a large load queue being run by RTOs.
- Such a cooperative, shared state and federal jurisdictional approach ensures that a minimum set of standards is employed nationwide and helps accelerate large load interconnections without disrupting existing processes by creating inefficient RTO-run queues or inviting litigation over jurisdictional disputes.
 - A cooperative federalism solution will also leave the door open for the Commission to assert additional jurisdiction in the future if minimum standards need reform or state-jurisdictional large load queues are not leading to the anticipated efficient outcomes. This approach also avoids unnecessary unbundling of bundled transmission, distribution, and generation retail service in vertically integrated states.

II. COMMENTS

As the Secretary's Letter and the ANOPR concede, the Commission has never asserted jurisdiction over interconnection of load, large or otherwise.⁴ Load interconnection has rather been the exclusive province under the Federal Power Act of state regulators, such as the VSCC. The state jurisdiction is derived from Section 201(b) of the Federal Power Act, which grants the States exclusive jurisdiction "over facilities used for the generation of electric energy or over facilities used in local distribution or for the transmission of electric energy in intrastate commerce, or over facilities for the transmission of electric energy consumed wholly by the transmitter."⁵

The VSCC agrees with the ANOPR that addressing issues related to large load interconnection is important. As noted by the North American Electric Reliability Corporation ("NERC") in its 2024 Long-Term Reliability Assessment,⁶ demand growth is now higher than at any point in the past two decades due to growth from these large loads. NERC forecasts summer peak demand to rise by over 132 GW, and winter peak demand forecasts increasing by 149 GW over the 2022 assessment. Absent well-developed policy regarding this load growth, states would face real resource adequacy constraints that imperil service to customers.

Most states, including Virginia, are already using the jurisdiction reserved to them under the Federal Power Act to address large load issues.⁷ The VSCC has approved numerous

⁴ Secretary's Letter at 1; ANOPR at Section IV.

⁵ 16 U.S.C. § 824(b).

⁶ North American Electric Reliability Corporation, *2024 Long-Term Reliability Assessment*, https://www.nerc.com/globalassets/our-work/assessments/2024-ltra_corrected_july_2025.pdf.

⁷ As but one example, as of the date of this filing, the Smart Electric Power Alliance's Database of Emerging Large-Load Tariffs includes 66 approved or pending large-load tariffs in 33 states. <https://sepapower.org/large-load-tariffs-database/>.

transmission infrastructure projects to address proposed large load additions, has approved or is considering large load tariffs for its cooperative and investor-owned utilities, and has held a technical conference on large load additions, with an additional technical conference scheduled for December. It is vital that the outcome of this proceeding allows such efforts to continue.

The ANOPR asserts that federal jurisdiction over load interconnection is justified, as large load interconnections are a “critical component of open access transmission service that require minimum terms and conditions to ensure non-discriminatory transmission service.”⁸ Although these large loads are interconnecting as end-use customers, the ANOPR states that “[a]ny large load that seeks to interconnect to the transmission system does so to obtain transmission service and the appurtenant benefits of such.”⁹ This assertion is questionable at best, given that virtually all such loads do not directly interconnect to the transmission system, but rather have one or more on site substations to step down the transmission voltage for delivery to the large load.

The legal durability of any final rule in this proceeding will thus depend on the merit of these assertions. The VSCC does not believe it is necessary for the Commission to even reach these questions, however, as the best approach to these issues is a cooperative one, where the Commission sets minimum standards for interconnecting utilities to meet, while leaving it to state commissions to regulate these retail tariffs as they have done for many years. Properly implemented, this collaborative federalism approach avoids the thorny jurisdictional issues raised if the Commission asserts exclusive jurisdiction over load interconnection.

⁸ ANOPR at P. 13.

⁹ *Id.* at P. 16.

The VSCC therefore encourages the Commission to issue in an eventual Notice of Proposed Rulemaking (“NOPR”) in this docket a set of minimum standards for load interconnection tariffs that all load serving utilities would have to meet. Responsibility for load interconnection, including maintaining a load interconnection queue and performing necessary load interconnection studies, would remain with the utility and overseen by state regulators. The NOPR would then require that all such utilities certify to the Commission that they have filed such a tariff with the relevant state authority. If necessary, utilities that do not have such tariffs on file with state regulators could file the tariff with the Commission.

Again, this approach would address the issues raised in the ANOPR, and would avoid the jurisdictional questions raised therein, leading to a stronger and more durable final rule. This approach is also consistent with prior Commission practice. For example, Order No. 888 included both a pro forma open access tariff for public utilities and a safe harbor for non-public utilities that had a tariff that satisfied the Commission's comparability (non-discrimination) standards.

The ANOPR suggests that certain types of interconnections, such as generator interconnection co-located with load, should be accelerated.¹⁰ The approach suggested herein by the VSCC can accommodate this interest, as the Commission could direct that a transmission provider coordinate studies of the load and generator interconnections. However, this does not suggest that the load interconnection queue should be maintained by the RTO (in RTO regions). It would be most efficient for the load interconnection queue to remain with the utility that has insight into the retail system that will serve the new load, and any RTO attempting to study such interconnection would likely have to rely on the utility when performing studies. Rather, co-

¹⁰ *Id.* at P. 20.

located or hybrid load should be flagged for the RTO, which (after verification) the RTO would move to an accelerated study process, like the accelerated processes already approved by the Commission.¹¹ This would maintain the efficiency of a utility-based load interconnection queue while ensuring that the co-located generation does not lag at the back of the generator interconnection queue.

This approach would also accommodate the Commission’s stated desire that “the interconnection study of large loads that agree to be curtailable and hybrid facilities that agree to be curtailable and dispatchable should be expedited.” Many states, including Virginia, are currently addressing data center load flexibility, and a cooperative approach in this proceeding would allow these efforts to proceed.¹²

The shared authority the VSCC proposes would best address resource adequacy concerns, as it would keep load and supply planning together at the state level. This is particularly important in vertically integrated states with robust integrated resource planning regimes. These processes, enabled by the states’ reserved jurisdiction under the Federal Power Act, enables states to oversee utilities’ long-term forecasting of electricity demand and evaluation of supply and demand-side resources to meet that demand in a cost-effective, reliable, and sustainable manner, and would be threatened by any federal takeover of load interconnection. This approach also avoids unnecessary unbundling of bundled transmission, distribution, and generation retail service in vertically integrated states.

¹¹ For example, in February the Commission approved PJM’s Reliability Resource Initiative, which enabled fast-track processing of up to 50 projects already part of PJM’s Transition Cycle 2. *PJM Interconnection, L.L.C.*, Order Accepting Tariff Revisions, 190 FERC ¶ 61,084 (Feb. 11, 2025).

¹² Specifically, the VSCC is holding a technical conference on data center load flexibility in December 2025. *Ex Parte: Electric Utilities and Data Center Load Growth*, Scheduling Order and Notice of Technical Conference on Large Load Flexibility, Case No. PUR-2024-00144 (Oct. 23, 2025).

The ANOPR also suggests that “load and hybrid facilities should be subject to standardized study deposits, readiness requirements, and withdrawal penalties.”¹³ Like almost half of the states, the VSCC is currently considering new large load tariffs and addressing just those issues. If the approach outlined in the ANOPR is adopted, states would no longer be able to continue these efforts. However, the cooperative federalism solution discussed herein would allow states to incentivize large loads to invest in local communities via virtual power plants, non-transmission alternatives or demand-side management programs.

The non-cooperative alternative, which would establish one queue at the RTO for “large loads” and one at the local utility for every other end-use customer still left with the utility, would create planning and study inefficiencies and could potentially disrupt other important loads, like manufacturers and commercial load, from being able to interconnect in a timely manner. A cooperative approach mitigates these risks by allowing each utility to study all loads, including large loads, in a coordinated way.

In addition, as the ANOPR recognizes, any attempt to split large load interconnections into a separate RTO queue requires establishing arbitrary boundaries around such large loads. The ANOPR proposes 20 MW, but commenters in this proceeding have already proposed alternative definitions. Whatever the definition, however, such a structure encourages gamesmanship, such as projects to come just above or just below the cutoff, depending on whether state or federal jurisdiction is viewed as preferable. Leaving load interconnections to be regulated by state commissions, as they have always been, would mitigate such regulator shopping.

¹³ *Id.* at P. 21.

The ANOPR approach also implicates issues that the Commission has recently determined are retail rate matters subject to state jurisdiction.¹⁴ By instead setting minimum standards to be implemented by transmission owners at the state level, the Commission could avoid crossing this jurisdictional boundary.

To be clear, under the cooperative approach described herein, should the Commission determine in the future that the minimum standards set by the Commission need reforms or that state-jurisdictional large load queues are not leading to the anticipated efficient outcomes, the Commission will be free to take additional action.

III. CONCLUSION

Wherefore, the VSCC respectfully requests that the Commission, in any eventual NOPR issued in this proceeding, maintain the existing shared jurisdiction with the states and set forth a list of principles for load interconnection to be implemented by utilities in their state-jurisdictional tariffs.

Respectfully submitted,

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¹⁴ *Tri-State Generation and Transmission Association, Inc.*, Docket No. ER25-3316, Order Rejecting Proposed Tariff, 193 FERC ¶ 61,070 (Oct. 27, 2025).

CERTIFICATE OF SERVICE

I hereby certify that the foregoing has been served in accordance with 18 C.F.R. Section 385.2010 upon each person designated on the official service list compiled by the Secretary in this proceeding.

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